

MODEL TEST PAPER 3
PAPER 6B: STRATEGIC MANAGEMENT

1. *The question paper comprises two parts, Part I and Part II.*
2. *Part I comprises case scenario based multiple choice questions (MCQs)*
3. *Part II comprises questions which require descriptive type answers.*

PART I – Case scenario based MCQs (15 Marks)

Question 1.(A)(Compulsory)

1. (A) Dr. Mikesh Gupta, Agriculture Management Guru at a leading management school in Patna, has been driving the business of E-Bandhu with seven of his students since 2017. This business has two core objectives: first, sustainable farming awareness and second, seasonal availability of agricultural inputs. It is a technology driven business wherein they have a one stop shop for all agricultural products available to farmers at competitive prices. Business is quite challenging, given the fact that farmers in the region are not well aware of the use of technology.

In the summer of 2019, the team decided to redefine their business strategy to succeed in the agricultural sector. They formulated a new definition and made strategic decisions to leverage their core competencies.

Firstly, they shifted their target market from directly serving farmers to onboarding wholesalers and retailers into the system and selling products to them. This strategic move was based on the understanding that wholesalers and retailers could influence technology adoption among farmers.

Secondly, they outsourced logistics to MaalGaadi, a rural supply chain management company. This decision helped E-Bandhu reduce asset procurement costs and corresponding debt, thus strengthening their position in the market.

Thirdly, they introduced a new service-based product, ChaaraVidya, in their application. ChaaraVidya aims to educate farmers about the latest sustainable farming practices being implemented around the world. This addition could potentially be a game-changer for E-Bandhu in the agro startup circle, further enhancing their core competency in promoting sustainable farming practices and technology adoption.

The team is enthusiastic about the strategic changes brought in by Dr. Mikesh and anticipates a more sustainable future for their idea.

Based on the above case scenario, answer the multiple-choice questions.

- (i) Switching from direct selling to marketing through wholesalers and retailers was a strategic decision taken by the management. Such decisions help an organization to be more of which of the following?
- (a) Authoritative
 - (b) Futuristic
 - (c) Proactive
 - (d) Regularised **(2 Marks)**
- (ii) ChaaraVidya was brought into the market to increase farmer awareness of soil quality and the latest sustainable farm practices from around the world? What kind of growth strategy will it fall under?
- (a) Market penetration
 - (b) Market development
 - (c) Product development
 - (d) Diversification of business **(2 Marks)**
- (iii) One of the most strategically advantageous decisions for E-Bandhu was to get into a contract with MaalGaadi. Which of the following could not be an advantage for E-Bandhu from this alliance?
- (a) Cost savings
 - (b) Reduced delivery time
 - (c) Improved customer satisfaction
 - (d) Increased inventory of products **(2 Marks)**
- (iv) How does E-Bandhu utilize Michael Porter's Five Forces model in its strategic decision-making process?
- (a) By focusing on industry rivalry and competitive pricing
 - (b) By analyzing the bargaining power of suppliers and buyers
 - (c) By assessing the threat of new entrants and substitutes
 - (d) All of the above **(2 Marks)**
- (v) What are the core objectives of E-Bandhu, as mentioned in the case study?
- (a) Sustainable farming awareness and seasonal availability of agricultural inputs
 - (b) Technology-driven solutions and competitive pricing
 - (c) Onboarding wholesalers and retailers into the system

(d) All of the above (2 Marks)

(B) Compulsory Application Based Independent MCQs

(i) Swabhaav, a social media marketing firm introduced an AI based management tool that has the capabilities of managing teams across functions all while being creative. What is the most likely organisational structure post this implementation?

- (a) Divisional Structure
- (b) Matrix Structure
- (c) Hourglass Structure
- (d) Network Structure (2 Marks)

(ii) A tea farm owners plan to open tea cafes in tourist spots and to sell their own premium tea to build a brand. Which of the following can this be termed as?

- (a) Backward Integration
- (b) Forward Integration
- (c) Diversification
- (d) Horizontal Integration (2 Marks)

(iii) The process of creating, maintaining, and enhancing strong, value-laden relationships with customers and other stakeholder is:

- (a) Social marketing
- (b) Augmented marketing
- (c) Direct marketing
- (d) Relationship marketing (1 Mark)

PART II – Descriptive Questions (35 Marks)

Question No. 1 is compulsory.

*Attempt any **two** questions out of the remaining **three** questions.*

1. (a) In his pursuit to expand the family business to Dubai, Dharam Veer Singh, the successor of the renowned architect Late Shri Lala Ram Pal Singh, faced a dilemma. Despite receiving positive feedback from various potential investors, a common trend emerged where the emphasis was primarily on swift construction, neglecting the importance of structural longevity. Dharam finds himself at a crossroads. What strategic approach could assist him in formulating a robust and coherent business roadmap that aligns with his vision for sustainable growth? (5 Marks)
- (b) Ravi and Arjun are two friends who are partners in their business of manufacturing premium coffee. Ravi believes in making profits through selling higher volumes of products, hence he advocates for charging

lower prices to customers. Arjun, however, believes that higher prices should be charged to create an image of exclusivity and proposes that the product undergo some changes to justify this pricing.

Analyze the nature of the generic strategy used by Ravi and Arjun.

(5 Marks)

- (c) Due to the reoccurrence of various variants of the coronavirus, XYZ Corporation is facing an unstable environment and has begun unbundling and disintegrating its activities. It has also started relying on outside vendors to perform these activities. Identify the organizational structure XYZ Corporation is shifting to. Under what circumstances does this structure become useful? **(5 Marks)**
2. (a) There are four specific criteria of sustainable competitive advantage that firms can use to determine those capabilities that are known as core competencies. Explain. **(5 Marks)**
- (b) XYZ Electronics has discovered that its products have reached their maturity stage, and the company is experiencing overcapacity. Consequently, it focuses on maintaining the operational efficiency of its manufacturing facilities. Identify the strategy implemented by XYZ Electronics and provide the reasons for this strategy. **(5 Marks)**
3. (a) Yummy Foods and Tasty Foods are successfully competing in the business of ready to eat snacks in Patna. Yummy has been pioneer in introducing innovative products. These products will give them good sale. However, Tasty Foods will introduce similar products in reaction to the products introduced by the Yummy Foods taking away the advantage gained by the former.

Discuss the strategic approach of two companies. Which is superior?

(5 Marks)

- (b) Why is change management crucial during digital transformation, and what are some key strategies for navigating change effectively? **(5 Marks)**
4. (a) Write a short note on the Product Life Cycle (PLC) and its significance in portfolio diagnosis. **(5 Marks)**
- (b) Distinguish between Micro Environment and Macro Environment.

OR

Distinguish between Operational Control and Management Control.

(5 Marks)